

ACME Manufacturing Inc. - Annual Report FY2024

Fiscal year ended December 31, 2024

Chairman's Statement

Dear Shareholders,

Fiscal year 2024 was a transformative year for ACME Manufacturing.

Top-line growth reached 15.4% as we expanded into European markets and launched our new automation product line.

We must be transparent about the challenges we face. Rising input costs, supply chain disruptions, and the cost of our strategic acquisitions have increased our leverage. Management has implemented a cost reduction program targeting \$40 million in annual savings.

We remain confident in our long-term strategy and the strength of our product portfolio.

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Fiscal year ended December 31, 2024

Financial Highlights (in thousands)

Revenue: 485,200 (FY2023: 420,500, FY2022: 365,100)

Gross Profit: 169,800 (FY2023: 158,500, FY2022: 142,400)

Operating Income: 54,200 (FY2023: 58,900, FY2022: 55,800)

Net Income: 26,800 (FY2023: 37,900, FY2022: 38,400)

EBITDA: 78,500 (FY2023: 74,200, FY2022: 68,900)

Key Ratios

Current Ratio: 1.1x (industry average: 2.0x)

Debt-to-Equity: 2.1x (FY2022: 1.2x)

Net Profit Margin: 8.0% (FY2022: 11.0%)

Return on Equity: 11.2% (FY2022: 16.8%)

Interest Coverage: 2.4x (FY2022: 5.1x)

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Balance Sheet Summary (in thousands)

Balance Sheet Summary

Total Assets: 659,300

Cash and Cash Equivalents: 22,100

Accounts Receivable: 98,500

Inventory: 85,300

Property, Plant & Equipment: 310,200

Intangible Assets: 96,300

Total Liabilities: 464,800

Accounts Payable: 61,200

Short-term Debt: 85,000

Long-term Debt: 245,500

Total Shareholders Equity: 194,500

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Income Statement (in thousands)

Consolidated Income Statement

Revenue: 485,200

Cost of Goods Sold: 315,400

Gross Profit: 169,800

Operating Expenses:

Selling, General & Admin: 89,600

Research & Development: 26,000

Total Operating Expenses: 115,600

Operating Income: 54,200

Interest Expense: 18,500

Income Before Taxes: 35,700

Income Tax Expense: 8,900

Net Income: 26,800

EPS (Basic): 2.68

EPS (Diluted): 2.61

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Cash Flow Statement (in thousands)

Consolidated Statement of Cash Flows

Cash Flow from Operating Activities:

Net Income: 26,800

Depreciation & Amortization: 24,300

Changes in Working Capital: (31,500)

Net Cash from Operating Activities: 19,600

Cash Flow from Investing Activities:

Capital Expenditures: (48,200)

Acquisition of Subsidiaries: (72,000)

Net Cash from Investing Activities: (120,200)

Cash Flow from Financing Activities:

Proceeds from Debt: 95,000

Dividend Payments: (8,400)

Net Cash from Financing Activities: 86,600

Net Change in Cash: (14,000)

Beginning Cash Balance: 36,100

Ending Cash Balance: 22,100

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Related Party Transactions

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The Company entered into the following transactions with related parties during FY2024:

1. ACME Holdings Ltd. (parent company, 51% ownership) - Management **services agreement totaling \$3.2 million.**
2. ACME Properties LLC (controlled by the Chief Executive Officer) - **Lease payments totaling \$4.8 million for the Company's corporate headquarters. This agreement was not subject to independent valuation.**
3. Redwood Supply Co. (owned by a board member) - Raw material purchases **of \$12.5 million, representing 8% of total raw material purchases.**

Management believes these transactions were conducted at arm's length.

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Subsequent Events

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On June 15, 2025, subsequent to the fiscal year end, the Company received a notice from its primary lender indicating potential covenant violations related to its debt-to-EBITDA ratio.

The Company is in discussions with the lender to negotiate a waiver. If a waiver is not obtained, the Company's \$85 million short-term debt facility could become due on demand, raising the risk of default.

A related dispute is pending before the commercial court relating to a supplier contract; legal counsel has assessed a contingent liability of up to \$6 million.